

advised to provide the detailed financial information requested on the mandatory Judicial Council form for obtaining in forma pauperis status.” (*Alshafie, supra*, 171 Cal.App.4th at 434.)

If the trial court has already granted a plaintiff leave to proceed in forma pauperis, the trial court acts arbitrarily and capriciously if it refuses to vacate or reduce the amount of the undertaking. (*Baltayan, supra*, 90 Cal.App.4th at 1435.) And even if a fee waiver has not been obtained, indigency depends on the litigant’s individual situation. (*Alshafie, supra*, 171 Cal.App.4th at 435, 435.) Out-of-state plaintiffs who earn a low income that may be entitled to relief from requirement of posting of undertaking; not only must courts exempt poor people entirely, but they may have to reduce the security bond required for middle-income litigants as well. (*Id.* at 46.)

Here, Plaintiff has failed to submit a declaration and Judicial Council Form outlining her hardship if she were forced to post an undertaking as requested. The Court **CONTINUES** the matter to afford Plaintiff the opportunity to demonstrate her financial inability to post an undertaking in the amount of \$54,000 and to explain the significant hardship she will face in the event such an undertaking is ordered. The continued hearing is set for September 17, 2026 at 8:30 am in Dept. 3 and Plaintiff is to file further papers regarding her ability to pay an undertaking which is to be filed no later than September 8, 2026.

2.

CASE #	CASE NAME	HEARING NAME
CVRI2601385	WINTERS vs DOE DEFENDANT	MOTION TO BE RELIEVED AS COUNSEL FOR ALEXANDER WINTERS

Tentative Ruling: The motion to be relieved is granted. The order shall be effective upon filing a proof of service of the final order.

3.

CASE #	CASE NAME	HEARING NAME
CVRI2602139	LOPEZ LOPEZ vs JAGUAR LAND ROVER NORTH AMERICA, LLC	DEMURRER ON COMPLAINT

Tentative Ruling:

A party may demur to a complaint on the grounds that it “does not state facts sufficient to constitute a cause of action.” (CCP § 430.10(e).) A demurrer tests whether the complaint states a cause of action. (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747.)

When considering demurrers, courts accept all well-pleaded facts as true. (*Fox v. JAMDAT Mobile, Inc.* (2010) 185 Cal.App.4th 1068, 1078.) “A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed.” (*SKF Farms v. Sup. Ct.* (1984) 153 Cal.App.3d 902, 905.) “The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous

matters, states a cause of action.” (*Hahn, supra*, 147 Cal.App.4th at 747.) On demurrer, a court does “not accept contentions, deductions or conclusions of fact or law.” (*Simonyan v. Nationwide Ins. Co. of Am.* (2022) 78 Cal.App.5th 889, 895.)

Although courts construe pleadings liberally, sufficient facts must be alleged to support the allegations pled to survive a demurrer. (*Rakestraw v. Cal. Physicians’ Serv.* (2000) 81 Cal.App.4th 39, 43.) Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 349.) The burden is on the party who filed the pleading subject to demurrer to show the court that a pleading can be amended successfully. (*Id.*)

1. JLRNA’s Demurrer

As an initial matter, JLRNA’s demurrer to the third cause of action should be overruled. In the Complaint, the third cause of action for negligent repair is expressly pleaded against the Dealership only. JLRNA is not named in that cause of action. A demurrer lies only to a cause of action asserted against the demurring party. Because the third cause of action for negligent repair is not asserted against JLRNA, there is no cause of action against it to which the demurrer can be directed. Accordingly, JLRNA’s demurrer to the third cause of action should be **OVERRULED**.

2. The Dealership’s Demurrer

The Dealership demurs to the third cause of action on two grounds. First, the Dealership argues that Plaintiffs fail to state facts sufficient to constitute a cause of action, because the Complaint does not allege specific facts showing what the Dealership did or failed to do, when the conduct occurred, or how the conduct caused injury. Second, it argues that the claim is barred by the economic loss doctrine because Plaintiffs seek only economic damages without alleging personal injury or damage to property other than the vehicle itself.

a. Pleading Sufficiency

A negligence claim requires duty, breach, causation, and damages. (*Berkley v. Dowds* (2007) 152 Cal.App.4th 518, 526.) Civ. Code § 1714(a) embodies the general duty to use ordinary care. (Civ. Code § 1714.) Civ. Code § 1796.5 imposes a duty on automotive repair dealers to perform repair services in a good and workmanlike manner. (Civ. Code § 1796.5.) California follows a notice pleading standard, under which negligence may be pleaded generally. (*Berkley, supra*, 152 Cal.App.4th at 526–27.) At the pleading stage, allegations that a plaintiff repeatedly presented property for repair and that the defendant failed to exercise ordinary care are sufficient to put the defendant on notice of the claim. (*Cnty. of Santa Clara v. Atlantic Richfield Co.* (2006) 137 Cal.App.4th 292, 340.) A complaint must be read liberally and interpreted to achieve substantial justice. (*Coppinger v. Rawlins* (2015) 239 Cal.App.4th 608, 612.)

Paragraph 42 alleges that the Dealership owed Plaintiffs a duty to use ordinary care and skill in storage, preparation, and repair of the vehicle in accordance with industry standards. (Compl. ¶ 42.) That duty allegation is acceptable as a general common law duty allegation at the demurrer stage and is consistent with the statutory duty imposed by Civ. Code § 1796.5. Paragraph 43 alleges that the Dealership breached its duty by failing properly to store, prepare, and repair the vehicle in accordance with industry standards. (*Id.* at ¶ 43.)

Read in conjunction with the incorporated general allegations, the Complaint provides sufficient notice. Paragraph 40 incorporates prior allegations, including that defects manifested within the warranty period, Plaintiffs delivered the vehicle to an authorized JLRNA repair facility on multiple occasions, and JLRNA was unable to conform the vehicle to warranty after a reasonable number of repair attempts. (*Id.* at ¶¶ 17, 18, 19, 40.) These allegations, taken together, inform the Dealership that Plaintiffs allege repeated presentation of the vehicle for repair of warranty defects and that the Dealership failed to exercise ordinary care in performing those repairs. That is sufficient notice at the pleading stage. The Dealership is on notice of the nature of the claim, namely, that Plaintiffs brought the vehicle in for repair of specific defects during the warranty period, the Dealership undertook those repairs, and the repairs were performed negligently such that the defects were not corrected. The allegation that JLRNA was unable to conform the vehicle after a reasonable number of repair attempts by its authorized facility provides the causal link between the Dealership's conduct and the continuing defects.

Paragraph 44 alleges that the Dealership's negligent breach was a proximate cause of Plaintiffs' damages. (*Id.* at ¶ 44.) On demurrer, the Court accepts well-pleaded facts as true and draws all reasonable inferences in Plaintiffs' favor. (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747; *Fox v. JAMDAT Mobile, Inc.* (2010) 185 Cal.App.4th 1068, 1078.) The allegation that the Dealership negligently failed to repair the vehicle and that this failure proximately caused damages is sufficient at the pleading stage. The causal connection between negligent repair and continuing vehicle defects causing loss of use, diminished value, and other economic harm is apparent from the nature of the transaction.

Defendants' reliance on *Berkley* for a heightened pleading standard is misplaced in this context. (Defs.' Mot. 3:26–4:6.) *Berkley* does not impose a requirement that Plaintiffs plead evidentiary detail regarding specific repair visits, dates, or procedures at the pleading stage. (*Berkley, supra*, 152 Cal.App.4th at 526–27.) California's notice pleading standard requires only that the complaint provide the defendant with sufficient notice of the claim to enable preparation of a defense. (*Mahan v. Charles W. Chan Ins. Agency, Inc.* (2017) 14 Cal.App.5th 841, 848 fn. 3 [internal quotations omitted].) Here, the Dealership has adequate notice that Plaintiffs allege negligent performance of repair services during the warranty period resulting in continued defects and economic loss. More specific facts are matters for discovery, not demurrer.

Accordingly, the third cause of action states facts sufficient to constitute a cause of action for negligent repair. The demurrer on pleading sufficiency grounds is **OVERRULED**.

b. Economic Loss Doctrine

California's economic loss doctrine generally bars recovery in tort for negligent conduct causing only economic loss unless the defendant owed an independent duty in tort apart from contractual obligations. (*Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 922.) The doctrine's rationale is protection of the parties' private ordering through contract. (*Id.* at 930.) The rule does not bar a tort claim when the duty sued upon is independent of contract. (*Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979, 990.) Under California law, there is no recovery in negligence for purely economic loss, meaning pecuniary harm unaccompanied by personal injury or physical injury to property other than the object of the transaction. (*S. Cal. Gas Co. v. Sup. Ct.* (2019) 7 Cal.5th 391, 398.)

An important exception applies where a special relationship gives rise to an independent tort duty. Under *Southern California Gas Leak Cases*, a defendant may owe a tort duty of care even in the absence of privity where a special relationship exists between the parties, particularly where the plaintiff was an intended beneficiary of a transaction and was harmed by the defendant's negligence in carrying it out. (*S. Cal. Gas Co.*, *supra*, 7 Cal.5th at 400.) Whether a special relationship exists is determined by the following six factors: (1) the extent to which the transaction was intended to affect the plaintiff, (2) the foreseeability of harm to the plaintiff, (3) the degree of certainty that the plaintiff suffered injury, (4) the closeness of the connection between the defendant's conduct and the injury suffered, (5) the moral blame attached to the defendant's conduct, and (6) the policy of preventing future harm. (*Id.*) The critical factor is foreseeability of the economic harm to the plaintiff from the defendant's negligent conduct.

Here, the Complaint invokes the special relationship exception. The Complaint alleges economic losses. The nonconformities allegedly impaired the use, value, or safety of the vehicle. (Compl. ¶ 17.) The prayer seeks general, special, and actual damages according to proof at trial, incidental and consequential damages according to proof at trial, and reimbursement of the purchase price. (*Id.* at p. 6.) The Complaint does not allege personal injury or physical damage to property other than the vehicle itself. The bare reference to impairment of the vehicle's safety describes the seriousness of the vehicle defect, not bodily injury or other property damage. Nevertheless, this case involves the performance of repair services, and the special relationship doctrine permits recovery of economic losses caused by negligent performance of such services where the six factors are satisfied.

At the pleading stage, applying the six factors, the Complaint satisfies the special relationship exception. (*S. Cal. Gas Leak Cases*, *supra*, 7 Cal.5th at 400.)

First, to the extent to which the transaction was intended to affect Plaintiffs, the Dealership's repair services were expressly intended to benefit Plaintiffs by correcting defects in their vehicle. The repair transaction was undertaken for Plaintiffs' direct benefit.

Second, as to the foreseeability of harm to Plaintiffs, this is the critical factor. It is highly foreseeable that negligent repair of a vehicle's safety and operational systems will cause economic harm to the vehicle owner. When a dealership undertakes to repair

defects and fails to do so with ordinary care, the foreseeable result is continued impairment of the vehicle's use and value, loss of the benefit of the warranty, and potential exposure to liability. The Complaint alleges that defects substantially impaired the use, value, or safety of the vehicle. (Compl. ¶ 17.) Harm to Plaintiffs and their property interests from negligent repair is plainly foreseeable.

Third, as to the degree of certainty that Plaintiffs suffered injury, the Complaint alleges that the Dealership's negligent repair was a proximate cause of Plaintiffs' damages. (*Id.* at ¶ 44.) Accepting well-pleaded facts as true, Plaintiffs suffered injury in the form of continued vehicle defects, loss of use, and diminished value.

Fourth, as to the closeness of the connection between the Dealership's conduct and the injury, the alleged causal connection is direct. Plaintiffs allege they delivered the vehicle to the Dealership for repair, that the Dealership negligently failed to repair the vehicle properly, and that as a result the vehicle remained defective, causing economic loss. (*Id.* at ¶¶ 41, 43, 44.) The connection between negligent repair and continued defects is close and direct.

Fifth, as to the moral blame attached to the Dealership's conduct, the Complaint alleges breach of the duty to exercise ordinary care and skill in repair services. (*Id.* at ¶¶ 42, 43.) Negligent performance of an undertaken repair obligation supports moral blame.

Sixth, as to the policy of preventing future harm, Civ. Code § 1796.5 codifies a public policy requiring repair dealers to perform services in a good and workmanlike manner. Recognizing a negligence remedy for breach of this duty serves the policy of preventing future harm from negligent automotive repairs.

Defendants rely on *Sheen* for the proposition that the economic loss doctrine bars Plaintiffs' negligent repair claim. (Defs.' Mot. 4:16–26.) *Sheen* is distinguishable because it involved a loan modification, where the Supreme Court found no special relationship between a borrower and lender. (*Sheen, supra*, 12 Cal.5th at 930.) By contrast, this case involves the performance of repair services on Plaintiffs' property, a transaction directly intended to benefit Plaintiffs, with foreseeable economic harm if performed negligently. The Dealership's undertaking to perform those repair services created a duty to perform them with ordinary care, and the economic losses from negligent repair are precisely the type of foreseeable harm the special relationship doctrine was designed to address.

Defendants further rely on *Erlich v. Menezes* (1999) 21 Cal.4th 543 and *Aas v. Superior Court* (2000) 24 Cal.4th 627, for the proposition that a claim for negligent performance of an implied duty to perform work in a good and workmanlike manner cannot support tort recovery for purely economic losses. (Defs.' Mot. 5:19–6:5.) Those cases are distinguishable. *Erlich* involved a homeowner-contractor relationship in which the parties' rights and duties were defined by contract, and *Aas* addressed construction defect claims against builders and subcontractors where no personal injury or damage to other property was alleged. Here, by contrast, Plaintiffs allege no contract with the Dealership. The warranty is between Plaintiffs and JLRNA, the manufacturer, not between Plaintiffs and the Dealership, which is a separate corporate entity. The absence

of a contractual relationship takes this case outside the *Erlich/Aas* framework and squarely within the special relationship doctrine of *Southern California Gas Leak Cases*.

Defendants also rely on *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, which reaffirmed *Sheen*'s general rule barring tort recovery for economic losses unaccompanied by physical or property damage. (Defs.' Mot. 4:18–5:12.) *Rattagan* does not alter the analysis. The Supreme Court in *Rattagan* addressed the independent duty framework in the context of fraudulent concealment claims and did not disturb the special relationship doctrine articulated in *Southern California Gas Leak Cases*. Because the special relationship exception applies on the allegations, *Rattagan*'s reaffirmation of *Sheen* does not bar the claim.

The Complaint adequately alleges an independent tort duty of ordinary care in the storage, preparation, and repair of the vehicle. (Compl. ¶ 42.) That duty is grounded in the common-law duty to exercise ordinary care under Civ. Code § 1714(a), and is reinforced by the statutory duty imposed on automotive repair dealers under Civ. Code § 1796.5 to perform repair services in a good and workmanlike manner. Together, these duties establish a tort duty independent of any contractual obligation.

At the pleading stage, the allegations plausibly satisfy the special relationship exception to the economic loss doctrine. Whether Plaintiffs can prove these allegations is a question for trial. On demurrer, the Complaint states facts sufficient to invoke the exception.

Accordingly, the economic loss doctrine does not support sustaining the demurrer at this stage. The demurrer on economic loss grounds is **OVERRULED**.